

9.6 Notes to the consolidated financial statements

NOTE 1 General information

The consolidated financial statements of AS LHV Group and its subsidiaries (collectively referred to as the Group or LHV) for the year ended 31 December 2025 have been prepared in accordance with International Financial Reporting Standards as adopted by the European Union. The subsidiaries are AS LHV Pank, AS LHV Finance (a subsidiary of AS LHV Pank), AS LHV Varahaldus, AS LHV Kindlustus, AS LHV Paytech and LHV Bank Ltd. AS LHV Group holds a 65% interest in LHV Finance through AS LHV Pank and a 65% interest in AS LHV Kindlustus.

AS LHV Group is a limited liability company incorporated and domiciled in Estonia. The address of its registered office is Tartu mnt 2, Tallinn. AS LHV Group is a holding company. AS LHV Pank provides banking, financial advisory and securities brokerage services to customers in Estonia and in the UK. It has customer service offices in Tallinn, Tartu and Pärnu. LHV Bank Ltd, which was established in 2021, is based in the UK. AS LHV Finance offers hire-purchase and consumer finance services. AS LHV Varahaldus offers pension and other fund management services. AS LHV Kindlustus offers various non-life insurance products. AS LHV Paytech provides payment solutions. On 31 December 2025 the Group had 1,239 full-time employees, incl. 67 non-active staff (31 December 2024: 1,227 employees, incl. 69 non-active staff).

Rain Lõhmus, who owns 20.94% of the voting rights, and Andres Viisemann, who owns 10.94% of the voting rights (see also Note 20), have significant influence over AS LHV Group.

The Group's annual report (incl. consolidated financial statements) was approved and authorised for issue by the Management Board on 02 March 2026. Approved annual report is subject to the approval of Supervisory Board and the general meeting. The Group's annual report which has been approved by the Management Board must also be approved by the Supervisory Board and the shareholders. The shareholders have the right not to approve the annual report and to demand that a new annual report is prepared.

Certain disclosures required by IFRS Accounting Standards have been included in the Risk and Capital Management section of the Annual Report as follows:

Credit Risk

Disclosures relating to the nature and extent of credit risk are provided in section 7.3 'Credit risk' and its subsections. These disclosures address the following IFRS 7 requirements:

Qualitative disclosures (IFRS 7.33): A description of the Group's exposures to credit risk and how they arise, along with the objectives, policies, and processes for managing and measuring credit risk, is provided in section 7.3.1 'Credit risk management'.

Quantitative disclosures (IFRS 7.34, 35A-36):

Information about the credit quality of financial assets (as required by IFRS 7.35M) is presented in the tables within section 7.3.3.3 'Loan portfolio by internal ratings and stages'.

Detailed information about the measurement of expected credit losses (ECL) (as required by IFRS 7.35F-G), including the Group's credit impairment framework, the definition of a significant increase in credit risk (SICR), the definition of default, and the forward-looking assumptions used, is provided in section 7.3.2 'Credit impairment framework'.

Information about the changes in the loss allowance and the reasons for those changes (as required by IFRS 7.35H-J) are presented in the tables within section 7.3.4 'Quality of credit portfolio'.

Disclosures on collateral and other credit enhancements obtained (as required by IFRS 7.35K) are described in section 7.3.1.2 'Credit risk mitigation' and further detailed in 7.3.4.3 'Loans against collateral'.

Disclosure on maximum exposure to credit risk (as required by IFRS 7.36A) are described in section 7.3.3.1 'Risk concentration'.

Information on concentrations of risk (as required by IFRS 7.34(c)) is provided in section 7.3.1.3 'Concentration risk' and 7.3.3.2 'Distribution of loans by economic sectors and stages'.

Disclosures on modified financial assets (as required by IFRS 7.35J) are detailed in section 7.3.2.6 'Modifications of financial assets'.

Liquidity Risk

Disclosures relating to the nature and extent of liquidity risk are provided in section 7.4 'Liquidity Risk'. These disclosures address the following IFRS 7 requirements:

Qualitative disclosures (IFRS 7.33, 39(c)): A description of how the Group manages liquidity risk, including the liquidity risk inherent in IFRS 7.39(a) is provided in section 7.4.1 'Liquidity risk management'.

Quantitative disclosures (IFRS 7.34, 39(a)):

A maturity analysis for financial liabilities showing remaining contractual maturities (as required by IFRS 7.39(a)) is presented in the tables within section 7.4.1 'Liquidity risk management'.

Market Risk

Disclosures relating to the nature and extent of market risk, including foreign currency risk, price risk and interest rate risk are provided across sections 7.5.1-7.5.3 and the introductory part of section 7.5 'Market risk'. These disclosures address the following IFRS 7 requirements:

Qualitative disclosures (IFRS 7.33): A description of the Group's exposures to each type of market risk and how they are managed is provided in the introductory parts of section 7.5 'Market risk' and in the subsections 7.5.1-7.5.3 of section 7.5. 'Market risk'.

Quantitative disclosures (IFRS 7.34, 40-42):

Interest rate risk (as required by IFRS 7.41): A sensitivity analysis showing the effect of interest rate changes on profit or loss is presented in section 7.5.3 'Interest rate risk'.

Foreign currency risk (as required by IFRS 7.40): A sensitivity analysis showing the effect of foreign exchange rate movements on profit or loss is presented under the section 7.5.1 'Foreign currency risk' heading in section 7.5. Quantitative data on open currency exposures is also provided in the tables within this section.

Other price risk (as required by IFRS 7.42): A sensitivity analysis showing the effect of movements in securities prices on profit or loss is presented in section 7.5.2 'Price risk'.

Presentation change

Presentation in Consolidated statement of profit or loss and other comprehensive income regarding interest income has changed. Previously all interest was shown in Interest income and interest income using effective interest rate was shown as included. In current financial statement, it is shown separately: Interest income calculated using the effective interest method and other similar income. New presentation improves presentation of interest income showing separately interest income based on effective interest and other similar income.

Presentation in Consolidated statement of cash flows has changed. Previously mandatory reserve in central bank was not included in the balance cash and cash equivalents in consolidated cash flow statement. The presentation has changed due to accounting policy change, as these balances are available for use, and such presentation better reflects what is the actual cash and cash equivalent.

The Group's operating segments fee presentation is changed and aligned with the changed reporting structure for the Group's chief decision makers. Previously fees related to banking services were presented as net in interest and fee lines, now these are presented separately.

Please see Note 4 for information on operating segments related disclosures.

Interest income change in presentation

<i>EUR thousand</i>	2024	Change in presentation	2024*
Interest income	443,531	-443,531	0
Incl. interest income based on EIR	426,977	-426,977	0
Interest income calculated using the effective interest method	0	426,977	426,977
Other similar income	0	16,554	16,554
Interest expense	-170,205	0	-170,205
Net interest income	273,326	0	273,326

Change in cash flow statement

<i>EUR thousand</i>	2024	Change in presentation	2024 as changed
Mandatory reserves at central banks	-7,340	7,340	0
Net cash from in operating activities	725,556	7,340	732,896
Increase in cash and cash equivalents	692,421	7,340	699,761
Cash and cash equivalents at the beginning of the year	3,061,645	55,899	3,117,544
Cash and cash equivalents at the end of the year	3,754,066	63,239	3,817,305

NOTE 2 Significant management estimates and assumptions

Consistent with International Financial Reporting Standards as adopted by the European Union, management makes estimates and assumptions which affect the amounts reported in the financial statements. Although the estimates are based on management's best knowledge and judgement, actual outcomes may differ from these estimates. Management's estimates have been applied in the valuation of loans, receivables and investments (Notes 10, 11, 12 and 14), the determination of the useful lives of PPE and intangible assets (Note 16), goodwill impairment tests (Note 5) and determination of insurance liabilities (Note 27). Estimates and judgments are continually evaluated based on historical experience and other factors, including expectations of future events that are believed to be reasonable in the circumstances. Changes in management's estimates are recognised prospectively.

The most significant estimates and assumptions are related to IFRS 9, namely the criteria for a significant increase in credit risk (SICR), the calculation of probability of default (PD) and loss given default (LGD), the business model and solely payments of principal and interest (SPPI) assessment for the classification of financial assets. Please see more information regarding credit risk in the 'Risk and Capital Management' section, subsection 7.3 'Credit risk'. Information regarding SPPI test is available in section "Material accounting policy information".

When calculating expected credit losses (ECLs) there are a number of key concepts that require a high level of judgement. Estimation of ECLs is, by nature, uncertain and the accuracy of the estimates depend on many factors, e.g., macroeconomic forecasts and involves complex modelling and judgements. The assessment of SICR is a concept under IFRS 9 and requires significant judgement. At the end of each reporting period the Group performs an assessment of whether credit risk has increased significantly since initial recognition by considering the change in the risk of default occurring over the remaining life of the financial

instrument, using key risk indicators that are used in the Group's existing risk management processes. Another area requiring significant judgement is the incorporation of forward-looking information and macroeconomic scenarios. IFRS 9 requires an unbiased and probability-weighted estimate of credit losses by evaluating a range of possible outcomes that incorporates forecasts of future economic conditions. LHV uses internally developed macroeconomic forecasts as the basis for the forward-looking information in the ECL measurement. LHV uses both models and judgements based on the input of experts to determine ECLs. The objective of making judgements based on the input of experts is to incorporate the estimated impact of factors not captured in the modelled ECL. The degree of judgement that is required to estimate ECLs depends on the outcome of the calculations, materiality, and the availability of detailed information. The models, assessments and assumptions are regularly reviewed by the risk organisation.

LHV analysed the issued performance guarantee contracts to assess whether they would meet the definition of insurance contracts in the scope of IFRS 17 and concluded that its performance guarantee contracts are out of scope as: the obligation to holder is limited to the guarantee amount and not related to underlying risk in all cases; there are no scenarios with commercial substance where LHV would have to pay significant additional amounts to the holders of such guarantees; sums drawn shall be reimbursed to LHV by the applicant; and, the majority of them are issued under limit or guarantee limit agreements of the applicants, which are debt instruments, and so do not expose LHV to insurance risk. Accordingly, LHV accounts for these contracts as loan commitments in accordance with IFRS 9.

NOTE 3 Fair value of financial assets and financial liabilities

To determine the fair value, future cash flows are discounted based on the market interest curve. The below table provides an overview of the assessment techniques, which depend on the hierarchy of assets and liabilities measured at fair value:

<i>EUR thousand</i>	IFRS 9 measurement	Level 1	Level 2	Level 3	Total fair value	Carrying value
Fair value of financial assets and financial liabilities as at 31 Dec 2025						
Cash and balances with central bank	AC	1,317,834	2,952,527	0	4,270,361	4,270,361
Due from banks and investment companies	AC	41,527	0	0	41,527	41,527
Due from credit institutions	AC	0	515	0	515	515
Debt securities	FVTPL	17,123	0	0	17,123	17,123
Shares and fund units*	FVTPL	7,169	0	0	7,169	7,169
Debt securities	AC	0	374,719	0	374,719	378,064
Loans and advances to customers	AC	0	0	5,585,662	5,585,662	5,465,391
<i>Corporate lending</i>	AC	0	0	3,425,128	3,425,128	3,351,378
<i>Consumer financing</i>	AC	0	0	111,583	111,583	109,180
<i>Investment financing</i>	AC	0	0	10,863	10,863	10,629
<i>Leasing</i>	AC	0	0	177,494	177,494	173,672
<i>Private lending</i>	AC	0	0	1,860,594	1,860,594	1,820,532
Receivables from customers and other receivables	AC	0	12,335	0	12,335	12,335
Strategic financial investment	FVTPL	0	0	1,000	1,000	1,000
Foreign exchange forwards	FVTPL	0	635	0	635	635
Other financial assets	AC	0	0	272	272	272
Total assets		1,383,653	3,340,731	5,586,934	10,311,318	10,194,392
Deposits from customers	AC	0	8,160,290	0	8,160,290	8,134,438
Loans received and debt securities in issue	AC	0	1,069,667	0	1,069,667	1,043,617
Subordinated debt	AC	0	216,519	0	216,519	206,928
Foreign exchange forwards	FVTPL	0	1,275	0	1,275	1,275
Accounts payable and other liabilities	AC	0	41,566	0	41,566	41,566
Total liabilities		0	9,489,317	0	9,489,317	9,427,824

<i>EUR thousand</i>	IFRS 9 measurement	Level 1	Level 2	Level 3	Total fair value	Carrying value
Fair value of financial assets and financial liabilities as at 31 Dec 2024						15,671
Cash and balances with central bank	AC	878,316	2,897,238	0	3,775,554	3,775,554
Due from banks and investment companies	AC	41,751	0	0	41,751	41,751
Due from credit institutions	AC	0	1,000	0	1,000	1,000
Debt securities	FVTPL	15,671	0	0	15,671	15,671
Shares and fund units*	FVTPL	7,186	0	0	7,186	7,186
Debt securities	AC	0	283,902	0	283,902	283,533
Loans and advances to customers	AC	0	0	4,728,259	4,728,259	4,552,093
<i>Corporate lending</i>	AC	0	0	2,859,405	2,859,405	2,752,869
<i>Consumer financing</i>	AC	0	0	103,872	103,872	100,002
<i>Investment financing</i>	AC	0	0	10,299	10,299	9,915
<i>Leasing</i>	AC	0	0	185,436	185,436	178,527
<i>Private lending</i>	AC	0	0	1,569,247	1,569,247	1,510,780
Receivables from customers and other receivables	AC	0	4,736	0	4,736	4,736
Strategic financial investment	FVTPL	0	0	1,000	1,000	1,000
Foreign exchange forwards	FVTPL	0	3415	0	3,415	3415
Other financial assets	AC	0	0	281	281	281
Total assets		942,924	3,190,291	4,729,540	8,862,755	8,686,220
Deposits from customers	AC	0	6,955,717	0	6,955,717	6,910,110
Loans received and debt securities in issue	AC	0	940,488	0	940,488	927,686
Subordinated debt	AC	0	132,506	0	132,506	126,256
Foreign exchange forwards	FVTPL	0	24	0	24	24
Accounts payable and other liabilities	AC	0	44,674	0	44,674	44,674
Total liabilities		0	8,073,409	0	8,073,409	8,008,750

*Shares and fund units include the investments of the Group’s subsidiary AS LHV Varahaldus in pension fund units in the amount of EUR 6,260 thousand (31 December 2024: EUR 6,307 thousand). Pursuant to the Investment Funds Act, the mandatory share of AS LHV Varahaldus as the management company is 0.5% of the number of units in each of the II pillar pension funds managed by it.

The Group’s Management Board has assessed the fair values of assets and liabilities carried at amortised cost. Fair value is estimated by discounting the future cash flows based on the market interest yield curve.

Levels of the fair value hierarchy (based on inputs used):

1. Level 1 – quoted prices in active markets

2. Level 2 – valuation techniques based on observable inputs (market data such as rates and interest curves from similar transactions)

3. Level 3 – other valuation techniques: (a) quantitative information about the significant unobservable inputs used in fair value measurement (if developed and available for the entity); b) a narrative description of the sensitivity of fair value measurement to changes in unobservable inputs (if the change might result in a significant change in fair value measurement); c) the effect of reasonable possible changes in unobservable inputs

For the term structure of financial assets and financial liabilities, please refer to the ‘Risk and Capital Management’ section, subsection 7.4.

Methods used to estimate fair value

Instrument	Method
Cash and balances with central banks	Carrying amount
Due from banks and investment companies	Carrying amount
Loans and advances to customers	Future cash flows discounted using the weighted average interest rates on new business published by the relevant central banks
Debt securities	Quoted market prices or, if unavailable, observable transaction prices
Equity instruments	Quoted market prices or, if unavailable, valuation methods based on market data
Interest-bearing financial instruments	Discounted cash flows using interest rates for items with similar characteristics
Derivatives	Market data
Loans received and debt securities in issue	Carrying amount
Deposits from customers	Demand deposits at carrying amount; term deposit future cashflows discounted using market rates for similar maturities
Subordinated debt	Discounted cash flows using interest rates for items with similar characteristics

NOTE 4 Operating segments

The Group divides its business activities into operating segments based on the group's legal structure. An operating segment is a part of the Group for which separate financial data is available and which is subject to regular monitoring of operating results by the Group's chief decision makers.

Group's operating segment results are presented only at the legal entity level, as this is the level at which the Group's chief decision-makers monitor the results.

LHV Pank segment includes banking activities and hire-purchase and consumer finance offering in Estonia. The main products are different kinds of credit and payments.

Segment LHV Varahaldus covers the activities of LHV Varahaldus that offers II and III pillar pension fund and other funds management services.

The LHV Kindlustus' segment covers the activities of LHV Kindlustus that offers non-life insurance.

LHV Bank operates in three business lines – banking services for financial intermediaries, SME lending and retail banking.

Other activities include parent company's activities, which are mostly capital and funding related, and Paytech which offers services to LHV Pank and LHV Bank, but also to external customers.

The Management Board of AS LHV Group has been designated as the chief decision maker responsible for the allocation of funds and the assessment of the profitability of business activities. The result reported by a segment includes revenue and expenditure directly related to the segment. The income reported by a segment is based on the revenue recorded in the financial statements and includes gains from transactions between the segments such as loans granted by AS LHV Pank to other group companies. The breakdown of interest income and fee and commission income by customer location is presented in Notes 6 and 7. Non-current non-financial assets are located in the country of domicile, i.e., LHV Bank's assets in the UK (2025 EUR 3.8 million and 2024 EUR 5.4 million) and other LHV companies' assets in Estonia (2025 EUR 28.8 million and 2024 EUR 36.0 million).

LHV Pank and LHV Bank have entered into an intercompany partnership agreement in respect of the Banking Services business line. Income from contracts with external customers is recognised by the entity that controls the relevant financial asset or has the performance obligation. Following initial recognition of external revenue, income is allocated between the parties in accordance with the intercompany partnership agreement. The allocation reflects each party's functional contribution, including assumption of risks, provision of funding, operational execution and customer relationship management. Amounts reallocated between the parties are recognised as intercompany income or expense in the separate financial statements of each entity. In the consolidated financial statements of the Group, such intercompany income and expenses are eliminated in full.



Financial information of operating segments

<i>EUR thousand</i>	LHV Pank	LHV Bank	LHV Varahaldus	LHV Kindlustus	Other activities	Eliminations	2025 Total	LHV Pank	LHV Bank	LHV Varahaldus	LHV Kindlustus	Other activities	Eliminations	2024 Total
Net interest income external*	246,355	28,907	63	444	-40,670	0	235,099	290,812	15,642	108	454	-33,690	0	273,326
Net interest income internal	-40,102	-1,487	3	-217	41,803	0	0	-33,697	-992	2	-160	34,847	0	0
Fee and commission income external	68,835	3,222	10,911	0	2,267	0	85,235	64,681	2,972	8,663	0	2,359	0	78,675
Fee and commission income internal	1,466	0	315	0	4,338	-6,119	0	438	0	273	0	3,953	-4,664	0
Fee and commission expense external	-20,600	-1,033	0	-108	-236	0	-21,977	-17,393	-925	0	-55	0	0	-18,373
Fee and commission expense internal	-2,780	-1,560	0	-11	0	4,351	0	-2,639	-1,313	0	-15	0	3,967	0
Net fee and commission income	46,921	629	11,226	-119	6,369	-1,768	63,258	45,087	734	8,936	-70	6,312	-697	60,302
Fee sharing income	0	25,989	0	0	0	-25,989	0	0	28,710	0	0	0	-28,710	0
Fee sharing expense	-25,989	0	0	0	0	25,989	0	-28,710	0	0	0	0	28,710	0
Net fee sharing	-25,989	25,989	0	0	0	0	0	-28,710	28,710	0	0	0	0	0
Dividend income	0	0	0	12	128,771	-128,770	13	0	0	0	12	81,201	-81,200	13
Net gain/loss from financial assets	1,299	1,232	765	225	-33	248	3,736	581	-131	450	192	-5	0	1,087
Insurance service revenue	0	0	0	41,080	0	0	41,080	0	0	0	34,969	0	0	34,969
Insurance service expenses	0	0	0	-36,901	0	0	-36,901	0	0	0	-33,038	0	0	-33,038
Net result from reinsurance contracts held	0	0	0	-1,725	0	0	-1,725	0	0	0	-960	0	0	-960
Net insurance income	0	0	0	2,454	0	0	2,454	0	0	0	971	0	0	971
Net other income/expense	142	228	0	3	0	-95	278	2,039	662	0	-7	0	-93	2,601
Total net operating income/expense	228,626	55,498	12,057	2,802	136,240	-130,385	304,838	276,112	44,625	9,496	1,392	88,665	-81,990	338,300
Staff costs	-58,459	-26,429	-2,644	0	-3,892	455	-90,969	-54,108	-22,381	-3,169	0	-3,030	373	-82,315
Administrative and other operating expenses	-39,175	-19,607	-4,724	-282	-4,356	-193	-68,337	-41,265	-16,714	-3,910	-194	-2,938	416	-64,605
Total administrative and other operating expenses, staff costs	-97,634	-46,036	-7,368	-282	-8,248	262	-159,306	-95,373	-39,095	-7,079	-194	-5,968	789	-146,920
Profit/loss before impairment losses	130,992	9,462	4,689	2,520	127,992	-130,123	145,532	180,739	5,530	2,417	1,198	82,697	-81,201	191,380
Expected credit losses	76	-1,595	0	0	0	0	-1,518	-15,777	-479	0	0	0	0	-16,256
Income tax expense	-23,979	-2,326	-564	1	0	-141	-27,009	-24,443	794	-801	0	-293	-77	-24,820
Net profit/loss for the reporting period	107,089	5,541	4,125	2,521	127,992	-130,264	117,005	140,519	5,845	1,616	1,198	82,404	-81,278	150,304
Total assets	8,776,107	1,431,709	22,962	28,396	1,031,582	-1,057,794	10,232,962	7,936,527	798,900	20,771	27,411	782,896	-830,194	8,736,311
Total liabilities	8,131,588	1,309,228	537	19,320	697,160	-692,052	9,465,781	7,338,159	712,864	772	20,928	553,923	-568,995	8,057,651

*Interest income includes interest from European Central Bank in the amount of EUR 70,889 (2024: 112,784) thousand.

NOTE 5 Subsidiaries and goodwill

As at 31 December 2025, the Group’s subsidiaries, which have been consolidated in these financial statements, included:

- AS LHV Pank (Estonia, ownership interest 100%);
- AS LHV Varahaldus (Estonia, ownership interest 100%);
- AS LHV Finance (Estonia, ownership interest 65% through AS LHV Pank);
- AS LHV Kindlustus (Estonia, ownership interest 65%);
- LHV Bank Ltd (the UK, ownership interest 100%);
- AS LHV Paytech (Estonia, ownership interest 100%).

35% ownership interest in AS LHV Kindlustus and AS LHV Finance belongs to Toveko Invest OÜ. The 35% non-controlling interest has been recognised in the consolidated statement of financial position within non-controlling interests.

LHV Paytech was bought in April 2022 for EUR 8,000 thousand. For the amount received, LHV Paytech shareholders subscribed for new shares issued by LHV Group AS. LHV Bank Ltd was established in the United Kingdom in 2021. In early 2023 LHV Bank started issuing SME loans. In May 2023, it was authorised as a credit institution by the Prudential Regulation Authority. In August 2023 the business transfer from Estonian affiliate, AS LHV Pank’s UK branch, to the newly licenced entity was finalized. The banking licence allows LHV Bank to accept customer deposits. In September 2023, LHV Bank launched its deposits offering via the Raisin. LHV Finance was established in 2013 and LHV Pank owns 65% of it. The 35% non-controlling interest has been recognised in the consolidated statement of financial position within non-controlling interests.

LHV Kindlustus was established in 2020 and LHV Group owns 65% of it. The 35% non-controlling interest has been recognised in the consolidated statement of financial position within non-controlling interests.

As at 31 December 2025, goodwill recognised in the consolidated financial statements of LHV Group in the amount of EUR 7,550 thousand consisted of:

- goodwill from the acquisition of an ownership in LHV Varahaldus of EUR 1,044 thousand;
- goodwill from the acquisition of ownership interest in Danske Capital AS by LHV Varahaldus of EUR 2,570 thousand;
- goodwill from the acquisition of an ownership in LHV Paytech of EUR 3,936 thousand.

Impairment tests were performed as at 31 December 2025 and 31 December 2024. The cash-generating unit to which goodwill has been allocated are LHV Varahaldus and LHV Paytech. In case of Paytech cash generating unit is defined more specifically as services offered by Paytech. Goodwill related to LHV Paytech arises from services and part of the revenue and costs are recorded in LHV Pank and LHV Bank. Pricing agreements with LHV Pank and LHV Bank were fixed fee based which means that developments in revenue are not so directly reflected in Paytech’s own financial results. Starting from 2026, LHV Bank has decided to discontinue using the services offered by Paytech. Both value in use calculations were based on a 5-year forecast and terminal value.

AS LHV Varahaldus impairment test had following assumptions:

- The volume of assets under management is expected to increase by 9.4% in 2026. After that the annual growth rate is in the range of 11-14% (2024: average annual growth rate 11%). On yearly basis assumed growth rates are: 14%, 13%, 12%, 11%.
- Success fee has been included in future forecasts starting from year 2026 (2024: included partially starting from the second forecast period).
- Due to the economic environment and planned activities, operating costs are expected to grow on average by 5.0% per year (2024: 7.0%). On yearly basis assumed growth rates are following: 29%, 8%, 8%, -1%, 4%.
- The discount rate applied during first 5 years was 13.8% (2024: 17.1%).
- Terminal value prior to discounting is EUR 129.4 million (2024: EUR 75.3 million). It is derived by assuming terminal period growth rate of 2% (2024: 2%) and discount rate of 14.1% (2024: 16.9%).

AS LHV Paytech’s impairment test had following assumptions:

- In forecast revenue and costs in AS LHV Pank and LHV Paytech related to offering payment services provided by LHV Paytech are taken into account. In 2024 calculation also revenue and cost in LHV Bank Ltd.
- Revenues are expected to increase on average 7% in a year (2024: 12%). On yearly basis assumed growth rates are following: 20%, 12%, -39%, 22%, 19%.
- Due to the economic environment and changes in product offering, operating costs are expected to decrease by 5% per year (2024: 10%).

- The discount rate applied was 8.4% (2024:8.5%) during first 5 years.
- Terminal value prior to discounting is EUR 11.4 million (2024: EUR 12.6 million). It is derived by assuming terminal period growth rate of 2% (2024: 3%) and discount rate of 8.9% (2024: 7.7%).

In both tests, deriving the main assumptions, management relied on previous years’ experience, on its best estimate of probable scenarios and on market data. Based on the result of AS LHV Varahaldus impairment test, the recoverable amounts of the cash generating units as at 31 December 2025 exceeded their carrying amount and, therefore, no impairment loss was recognised. AS LHV Paytech’s impairment test indicated that as at 31 December 2025 the recoverable amounts of the cash generating unit was lower than its carrying amount and, therefore, impairment loss of EUR 1,600 thousand was recognised. Based on the result of AS LHV Varahaldus and AS LHV Paytech impairment tests as at 31 December 2024 the recoverable amounts of the cash generating units exceeded their carrying amounts and, therefore, no impairment losses were recognised.

Set out below is the summarised financial information for AS LHV Finance and AS LHV Kindlustus. The information disclosed is presented before intra-group eliminations.

Summarised statement of financial position

<i>EUR thousand</i>	AS LHV Finance		AS LHV Kindlustus	
	31 Dec 2025	31 Dec 2024	31 Dec 2025	31 Dec 2024
Current assets	27,865	24,375	12,893	12,062
Non-current assets	66,458	62,705	15,503	13,850
Current liabilities	2,332	1,803	16,167	16,276
Non-current liabilities	72,755	65,600	3,153	3,153
Total net assets	19,236	19,677	9,076	6,483
Accumulated non-controlling interest	6,229	6,402	3,135	2,252

Summarised statement of profit or loss and other comprehensive income

<i>EUR thousand</i>	2025	2024	2025	2024
Total net interest and fee income	9,876	8,506	109	224
Total net insurance income	0	0	2,454	971
Profit/loss before income tax	6,941	3,611	2,522	1,199
Income tax expense	-1,636	-326	0	0
Net profit/loss	5,305	3,285	2,522	1,199
Total comprehensive income/loss	5,305	3,285	2,522	1,199
Profit/(loss) and other comprehensive income allocated to non-controlling interests	1,857	916	883	420
Dividends paid to non-controlling interest	2,030	700	0	0

Summarised statement of cash flows

<i>EUR thousand</i>	2025	2024	2025	2024
Cash generated from operations	5,795	17,236	-658	-2,069
Interest paid	-5,930	-6,739	-300	-291
Income tax paid	-1,636	-326	0	0
Net cash generated from/used in operating activities	-1,771	10,171	-958	-2,360
Net cash generated from/used in investing activities	-122	-81	-396	-624
Net cash generated from/used in financing activities	1,893	-10,090	0	1,000
Net increase/decrease in cash and cash equivalents	0	0	-1,354	-1,984
Cash and cash equivalents at beginning of year	0	0	10,188	12,172
Cash and cash equivalents at end of year	0	0	8,834	10,188

NOTE 6 Net interest income

Net interest income

<i>EUR thousand</i>	<i>Note</i>	<i>2025</i>	<i>2024</i>
Interest income calculated using the effective interest method			
Corporate loans		204,356	184,567
<i>incl. Stage 3 interest*</i>		3,570	1,453
Hire purchase		3,511	2,942
Consumer loans		12,060	12,099
Private loans		3,297	3,847
Mortgage loans		71,182	76,486
Leveraged loans		1,654	1,683
Credit card loans		1,338	1,239
Due from credit institutions and investment companies		2,530	2,825
Due from central banks		91,920	132,383
Debt securities at amortised cost		15,689	6,182
Other loans		473	2,724
Total interest income calculated using the effective interest method		408,010	426,977
Other similar income			
Leases		10,484	14,221
Debt securities at fair value through profit or loss		484	2,333
Total other similar income		10,968	16,554
Total interest income		418,978	443,531
Interest expense			
Deposits from customers and loans received		-168,551	-159,475
Other liabilities		-1,533	-438
Subordinated debt	19	-13,795	-10,292
Total interest expense		-183,879	-170,205
Net interest income		235,099	273,326

Interest income of loans by customer location

<i>EUR thousand</i>	<i>2025</i>	<i>2024</i>
Estonia	351,020	408,471
United Kingdom	67,958	35,060
Total	418,978	443,531

*As most Stage 3 loans are sold to debt collectors, the amounts of Stage 3 interest are marginal in all loan portfolios except corporate loans. Interest expense on lease liabilities included in other liabilities interest expense was EUR 285 thousand (2024: EUR 283 thousand). The distribution of the Group's interest income by operating segment is presented in Note 4. The loan portfolio is presented in Note 12.



Fee and commission income

<i>EUR thousand</i>	Note	LHV Pank	LHV Bank	LHV Varahaldus	LHV Kindlustus	Other activities	Eliminations	2025 Total	LHV Pank	LHV Bank	LHV Varahaldus	LHV Kindlustus	Other activities	Eliminations	2024 Total
Security brokerage and commission fees		6,570	0	0	0	0	-12	6,558	7,452	0	0	0	84	-14	7,522
Asset management and related fees		5,024	0	11,226	0	0	-315	15,935	4,833	0	8,936	0	182	-273	13,678
Fiduciary services		1,037	0	0	0	0	0	1,037	1,118	0	0	0	0	0	1,118
Currency exchange fees		9,841	0	0	0	0	0	9,841	8,586	0	0	0	0	0	8,586
Fees from cards and settlements		32,647	2,984	0	0	4,569	-1,815	38,385	32,855	2,978	0	0	4,032	-1,940	37,925
Other fee and commission income		15,185	234	0	0	2,034	-3,974	13,479	10,277	0	0	0	2,013	-2,443	9,847
Total fee and commission income	4	70,304	3,218	11,226	0	6,603	-6,116	85,235	65,121	2,978	8,936	0	6,311	-4,670	78,676

NOTE 8 Operating expenses

Operating expenses			
EUR thousand	Note	2025	2024
Wages, salaries and bonuses		65,405	60,243
Social security and other taxes*		25,564	22,072
Total staff costs		90,969	82,315
IT expenses		15,430	14,042
Information services and banking services		2,009	2,798
Marketing expenses		5,363	4,799
Office expenses		2,502	2,513
Transportation and communication costs		897	707
Training and travelling expenses of employees		2,004	2,150
Other outsourced services		13,099	11,962
Other administrative expenses		13,759	14,632
Depreciation and amortisation	16	11,517	8,964
Rental expenses for short term lease		347	388
Other operating expenses		1,410	1,650
Total other operating expenses		68,337	64,605
Total operating expenses		159,306	146,920

*Social tax includes contributions to state pension funds. LHV has no legal or factual obligation to make pension or other similar payments in addition to social tax.

Audit services provided by PwC in 2025 amounted to EUR 769 (2024: 439) thousand. Audit services provided by other companies in 2025 amounted to EUR 268 (2024: 378) thousand. Other services provided by auditors amounted to EUR 387 (2024: 200) thousand and comprised of capital market transactions related services and other additional services required from auditors by applicable legislation.

The average number of employees working for LHV Group in 2025 was 1,219 (2024: 1,127).

From 2018, the acquisition costs of contracts signed with the customers of pension funds have been capitalised as intangible assets based on the expected lifetime of a customer relationship, i.e., 20 years.

If the costs had been recognised as an expense and not capitalised, marketing expenses would have been EUR 422 thousand (2024: EUR 1,154 thousand) larger.

NOTE 9 Cash and cash equivalents, due from central bank and investment companies

Cash and cash equivalents, due from central banks and investment companies

EUR thousand	31 Dec 2025	31 Dec 2024
Cash and balances with central bank	4,270,361	3,775,554
Due from banks and investment companies	41,527	41,751
Total	4,311,888	3,817,305

Credit quality of cash and cash equivalents, due from banks, investment companies and credit institutions by internal ratings

EUR thousand	31 Dec 2025	31 Dec 2024	Grading
1 low credit risk	0	0	Investment grade
2 low credit risk	0	0	
3 low credit risk	5,276	4,353	
4 low credit risk	4,301,629	3,807,335	
5 low credit risk	0	0	
6 low credit risk	1,795	990	
7 medium credit risk	0	0	
8 medium credit risk	1,766	1,354	
9 heightened credit risk	0	0	
10 high credit risk	1,937	4,273	Non-investment grade
11 high credit risk	0	0	
12 non-satisfactory rating	0	0	
13 insolvent	0	0	Default
Total	4,312,403	3,818,305	

As of 31 December 2025, LHV Group also has term deposit with a maturity more than 3 months in the amount of EUR 515 thousand (31 December 2024: EUR 1,000 thousand). The deposit is recognised in the statement of financial position as 'Due from credit institutions. The mandatory banking reserve as of 31 December 2025 was 1% (2024: 1%) of all financial resources raised (deposits from customers). The reserve requirement is to be fulfilled as a monthly average in euros or in foreign securities preapproved by the Estonian Central Bank.

NOTE 10 Financial assets and liabilities at fair value through profit or loss

Financial assets and liabilities at fair value through profit or loss

<i>EUR thousand</i>	31 Dec 2025	31 Dec 2024
Shares and fund units	909	879
Debt securities	17,123	15,671
Investments (fund units) in managed pension funds	6,260	6,307
Foreign exchange forwards	635	3,415
Total financial assets	24,927	26,272
Foreign exchange forwards	1,275	24
Total financial liabilities	1,275	24

Strategic financial investments at fair value through profit or loss

In 2022 LHV made a small investment of EUR 1 million to Tuum, the provider of core platform to LHV Bank. AS LHV Group has 1.4% interest in the company. LHV main interest was to protect its subsidiaries interests, as Tuum is the most important vendor for LHV Bank. Tuum offers modular bank software, with agility and flexibility in mind. Modularity is a key concept in product design; provides option to choose the capabilities needed and, like a multi-tool, Tuum provides the most appropriate choice of technology to supercharge business from within. The platform is API-first and built around a microservices architecture, ensuring quick and simple integration.